



ESCUELA DE INGENIERÍA
FACULTAD DE INGENIERÍA

Lecture 1: Presentation and Introduction

Patricia Galilea A.

ICS2523 Microeconomics

Lecture contents

- Lecturer presentation
- Survey
- Results from past academic survey (II-2024)
- Course outline / Syllabus
- Glossary

Survey

Presentation

Initial Survey:

Go to [menti.com](https://www.menti.com/al4at3ymkk5n) and answer the following survey
<https://www.menti.com/al4at3ymkk5n>

voting code **3561 4290**



Academic Survey Revision II-2024

Presentation

Syllabus

Presentation

Introduction

Presentation

Motivation

Results in the US show that most students didn't learn much in introductory economics courses

When former students were given quizzes designed to test their knowledge of basic economics six months after taking the course, **they did not perform better than others who never took an introductory course**



Motivation

How can an university justify charging thousand of dollars for courses that add no value?

How are we in Chile? And in the PUC?

Do we have the same problem?

Let's see!

Opportunity cost

After your introductory course, you should at least have heard the term **opportunity cost**

What is an opportunity cost?

The opportunity cost of engaging in an activity is the value of everything you must give up to pursue it

Exercise

Suppose you won a free ticket to see Kid Voodoo concert tonight. You can't resell it.

Los Bunkers are performing on the same night, and their concert is the only other activity you are considering.

A Los Bunkers ticket costs \$40; on any given day, you would be willing to pay as much as \$50 to see them perform. In other words, if Los Bunkers tickets sold for more than \$50, you would pass on the opportunity to see him even if you had nothing else to do. There is no other cost of seeing either band.

What is your opportunity cost of attending Kid Voodoo concert?

What is your opportunity cost of attending Kid Voodoo concert?

1. \$0
2. \$10
3. \$40
4. \$50



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Opportunity cost

So, why didn't the economics students/experts perform better?

- Because opportunity cost is only one of several hundred concepts that lecturers throw at students during the typical introductory course, it simply goes in a blur
- If students do not spend enough time on it and use it repeatedly in different examples, it never really sinks in
- Most leading introductory economics textbooks do not devote sufficient attention to the opportunity cost concept to enable students to answer this Los Tres/Los Bunkers question
- Moreover, the concept does not receive patient, in-depth treatment in textbooks beyond the introductory level and the term opportunity cost does not even appear in the indexes of leading graduate microeconomics texts

Opportunity cost: Homework (Canvas)

Write a simple exercise related to your major to show that you got right the “opportunity cost concept” (10 lines max)

Glossary

These terms will be widely used during the course:

TBD: To be determined

AKA: Also known as

FYI: For your information

ASAP: As soon as possible

BTW: By the way

Individual Activity (canvas)

Write down **2-3 concepts** that you learnt today. Please write down the concept and what you learnt about it, in your own words.

If you have any **questions** about we discussed today, write it down too. We will go through them at the beginning of next class.

Finally, if there is a word you didn't understand, write it down so it can be part of the **glossary**.